

Amazon.com, Inc. NasdaqGS:AMZN

FQ2 2017 Earnings Call Transcripts

Thursday, July 27, 2017 9:30 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2017-			-FQ3 2017-	-FY 2017-	-FY 2018-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	1.40	0.40	▼ (71.43 %)	1.14	6.69	11.46
Revenue (mm)	37176.32	37955.00	▲ 2.09	39922.55	166270.37	201251.58

Currency: USD

Consensus as of Jul-27-2017 2:19 PM GMT

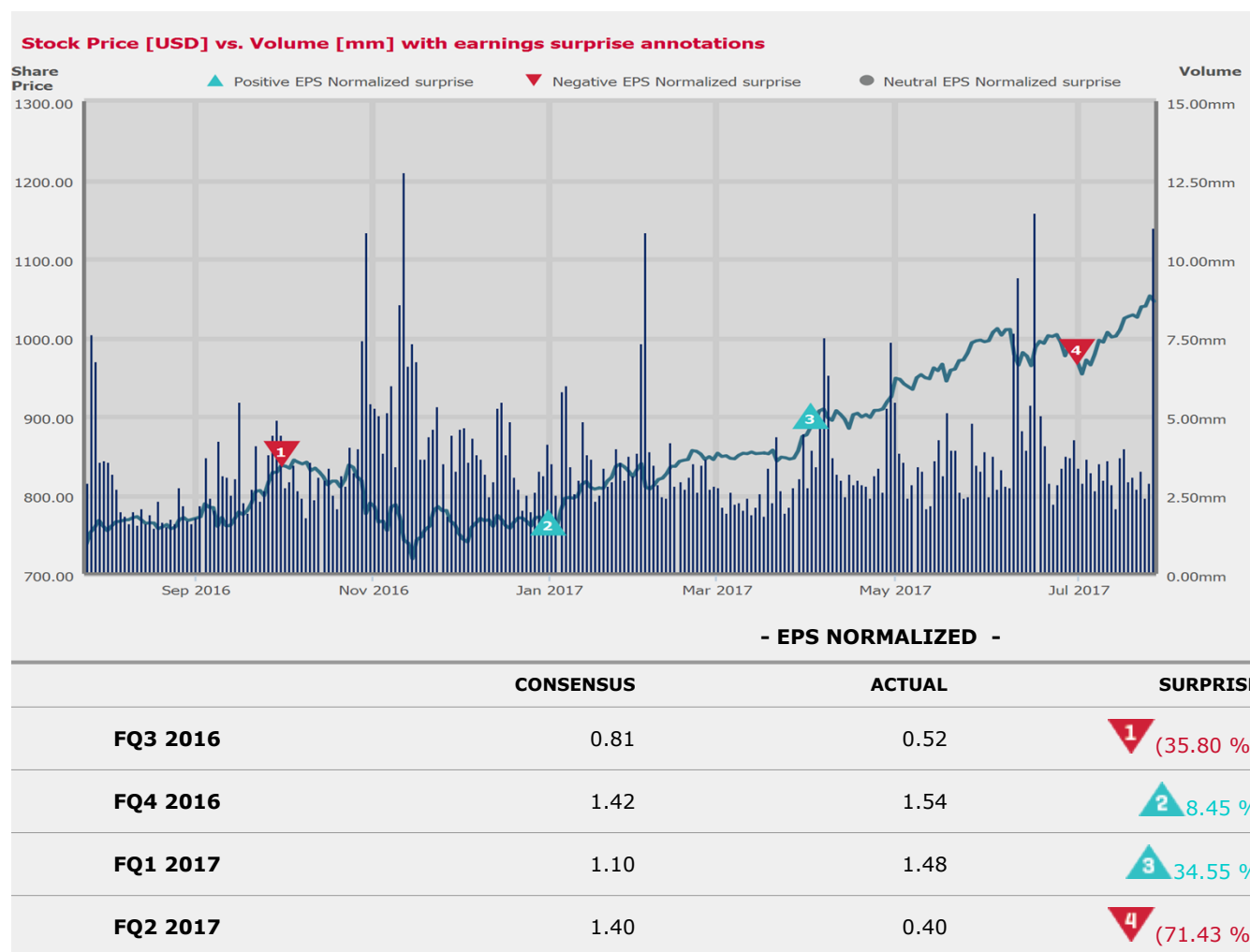


Table of Contents

Call Participants		3
Presentation		4
Question and Answer		5

Call Participants

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Division*

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Jason Stuart Helfstein
*Oppenheimer & Co. Inc., Research
Division*

Justin Post
*BofA Merrill Lynch, Research
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Presentation

Operator

Thank you for standing by. Good day, everyone, and welcome to the Amazon.com Q2 2017 Financial Results Teleconference. [Operator Instructions] Today's call is being recorded. For opening remarks, I'll be turning the call over to the Director of Investor Relations, Darin Manney. Please go ahead.

Darin Manney

Finance Director of EU Retail Categories & Expansion

Hello, and welcome to our Q2 2017 financial results conference call. Joining us today to answer your questions is Brian Olsavsky, our CFO.

As you listen to today's conference call, we encourage you to have our press release in front of you, which includes our financial results as well as metrics and commentary on the quarter. Please note, unless otherwise stated, all comparisons in this call will be against our results for the comparable period of 2016.

Our comments and responses to your questions reflect management's views as of today, July 27, 2017, only and will include forward-looking statements. Actual results may differ materially. Additional information about factors that could potentially impact our financial results is included in today's press release and our filings with the SEC, including our most recent annual report on Form 10-K and subsequent filings. During this call, we may discuss certain non-GAAP financial measures. In our press release, slides accompanying this webcast and our filings with the SEC, each of which is posted on our IR website, you will find additional disclosures regarding these non-GAAP measures, including reconciliations of these measures with comparable GAAP measures.

Our guidance incorporates the order trends that we've seen to date and what we believe today to be appropriate assumptions. Our results are inherently unpredictable and may be materially affected by many factors, including fluctuations in foreign exchange rates, changes in global economic conditions, customer spending, world events, the rate of growth of the Internet, online commerce and cloud services and the various factors detailed in our filings with the SEC. Our guidance also assumes, among other things, that we don't conclude any additional business acquisitions, investments, restructurings or legal settlements and excludes the impact of our proposed acquisition of Whole Foods Market. It is not possible to accurately predict demand for our goods and services, and therefore our actual results could differ materially from our guidance.

With that, we will move to Q&A. Operator, please remind our listeners how to initiate a question.

Question and Answer

Operator

[Operator Instructions] Our first question comes from the line of Heath Terry with Goldman Sachs.

Heath Patrick Terry

Goldman Sachs Group Inc., Research Division

I was just wondering if you could give us a sense on the investments that are planned in Q3. Previously, you've been willing to provide sort of some qualitative guidance around how you're rank ordering those in terms of the ones that are -- the largest areas of investment in the quarter. Just wondering if you could update us on that just given the guidance for Q3 and what we saw in investment in Q2.

Brian T. Olsavsky

Senior VP & CFO

Sure. Let me see what I can tell you on that. First of all, I want to remind you that Q3 is typically a lower operating income quarter as we're preparing for the Q4 holiday peak. The other dynamic is that similar to last year, a large percentage of our new fulfillment centers are coming online in the second half of the year, a lot of them in Q3. So to give that some perspective, the Amazon-Fulfilled Network or the combination of retail and FBA shipments coming out of our warehouses has been nearly 40%. It was that last year and it's continued through this year. Last year, we had 30% additional square footage to handle that additional shipping volume, and about 80% of that went in to service in the back end of last year. That's what I mentioned about this time last year. The -- similar dynamic this year. We're going to have about 80% of our increase in square footage for fulfillment and shipping coming online in the back end of the year. So that's a major increase. The other comment I would make is on the content -- video content. Video content, last year I highlighted the fact that it was going to be a significant step up between first half -- second half of 2016 and the second half of 2015. We are still -- we lapped that most of the first half of this year, and we'll also be increasing video spend on a sequential and year-over-year basis in Q3 and that's included in this guidance. Other than that, I can't give much more specifics except to say that the large investment areas remain increasing fulfillment capacity to service the strong growth of the FBA business. I'll also point out that the strong usage growth at AWS has led us to a step up in infrastructure in the form of capital leases. We've built capital leases in the trailing 12 months. They've increased 71% through the end of Q2 versus last year. That is servicing -- accelerating usage in our largest AWS services as well as geographic expansion. So that's additional factor sequentially in the quarter year-over-year.

Operator

Our next question comes from Colin Sebastian with Robert W. Baird.

Colin Alan Sebastian

Robert W. Baird & Co. Incorporated, Research Division

A question on the grocery category and the announcement that we have -- that we heard recently. Specifically, does that imply that the strategy has changed around Fresh, which was presumably replacing the trip to the grocery store? Or should we think about adding different modes, such as pickup points and bricks-and-mortar, as serving a distinct customer base or geared to reduce the cost bottleneck around home delivery? Any comments would be helpful.

Brian T. Olsavsky

Senior VP & CFO

Sure, Colin. First, as far as Whole Foods is concerned, as Darin mentioned, it's not included in this guidance since it hasn't closed yet, but we are excited about that acquisition and looking forward to working with the team at Whole Foods. We think they're very customer-centric just like us. They've built a great business focused around quality and customers. So we're really glad to join up with them. On your larger question about with the place of AmazonFresh, that include Prime Now and some of our other

efforts, I would say we believe there will be no one solution. So we're experimenting with a number of the formats, from physical pickup points in Amazon Go to online ordering and delivery to your door through Prime Now and AmazonFresh. And we'll see how customers respond. We like the response that we've seen so far. We think they're valuable. All those are valuable services. Amazon Go is not out of beta, but the other ones are. On top of that, we're looking forward to adding the Whole Foods team and their great reputation for quality and customer service to this offering.

Operator

Our next question comes from Justin Post with Merrill Lynch.

Justin Post

BofA Merrill Lynch, Research Division

A couple of questions. It definitely seems relative to your guidance, you may have stepped up spending in the second quarter. Anything in particular to call out, India or anything like that? And then just thinking bigger picture, I'm wondering why physical locations might make sense for Amazon. Why is that a positive use of capital going forward?

Brian T. Olsavsky

Senior VP & CFO

Sure. As far as Q2 is concerned, we were very encouraged by the revenue and unit growth acceleration, particularly in North America. We see that as tied to the Prime growth and the adoption of Prime and success of that program. Also point out that AWS stepped up its run rate from a \$14 billion run rate last quarter to \$16 billion. So we saw the largest quarter-over-quarter and year-over-year increase in revenue in that businesses as well, and gross margin expanded 130 basis points. So as you point out, the year-over-year difference is primarily driven by investments. The -- we're within the guidance range, and we continue to invest in, as I said, fulfillment capacity and logistic services, digital video, our Echo and Alexa -- Echo devices and Alexa platform, India, the buildup at AWS infrastructure, all the things I mentioned, not to mention Prime Now and AmazonFresh and Prime benefits. We did see a big jump in headcount in year-over-year. You'll see it's 42%, and in the past I've said most of that is driven by operations hiring. And I've even said that headquarters office hiring many times in the past was below the level of revenue growth. Right now what we're seeing is an accelerated growth rate in software engineers and also sales teams to support primarily AWS and advertising. So yes, those -- the growth rate of those 2 job categories actually exceeded the company growth rates. So we are adding -- having success hiring a lot of people and pointing them at some very important programs and customer-facing efforts. On a place of physical, again, as I mentioned in the earlier question, we are experimenting with a number of formats. You've seen the physical bookstores, and I would say that the benefit there is -- again, we have a curated selection of titles and it's also a great opportunity for people to touch and feel our devices and see them, especially the new Echo devices. I went into the store in Seattle last week and I saw about 1/3 of the people were standing around the device table, learning how they work, how they interact with the devices. So I saw firsthand the customer experience. I think that's where we're seeing the benefit to the physical stores right now.

Operator

Our next question comes from Mark May with Citi.

Mark Alan May

Citigroup Inc, Research Division

Question on the comments around the fulfillment investments. Could you characterize or maybe even quantify how much of the fulfillment infrastructure investment that you're making is going to incrementally gear towards handling growth in sort of the existing business and infrastructure versus expanding your capabilities in fulfillment, like adding more inbound or last mile and/or from entering new international markets where you need to invest ahead of growth versus just sort of keeping up and maintaining growth within sort of your existing footprint? And then AWS, you had some price adjustments in May, yet the Q2

growth was quite good. Can you just comment about the impact that those cuts may have had in Q2? And if you're modeling those also in your Q3 guidance, maybe the impact there.

Brian T. Olsavsky

Senior VP & CFO

Yes, let me start with the second one. So yes, we've had numerous price increase -- or decrease, excuse me, and we continue to have that in the AWS business, both absolute decreases in service costs and also rolling out new services that may be cannibalizing more expensive, other services that we provide. So nothing really to note on Q2 or Q3 from that standpoint. The fulfillment investments, I can't split it out for you between Amazon logistics support sort centers and fulfillment centers. What I can say, the biggest dynamic going on, again, is that Amazon-Fulfilled unit growth of nearly 40%, which was last year and carrying it to this year. It's a global number, and we are very glad of the success of the FBA program. We're matching that with just over 30% increase in square footage. And yes, you're right, that does include some shipping sort centers and things that are incremental and new functions for us, if you will. But that's about all I can say on that right now. I think we're very happy -- we're very happy with the FBA program, its impact on Prime and we think Prime and FBA are self-reinforcing. We know customers really like it, the additional selection that FBA provides. So we like those combined, and we are working very hard to match that with capacity in an efficient manner.

Operator

Our next question is from Douglas Anmuth with JPMorgan.

Douglas Till Anmuth

JP Morgan Chase & Co, Research Division

I just wanted to follow up on AWS and just on the back of the price cut, obviously 1Q being the first full quarter, but it looks like 2Q, as Mark said, things did stabilize some. Can you just talk about whether you're seeing more of a volume pickup response here and companies kind of more actively moving volume into the cloud at these lower prices? And then just secondly on Prime, the value of the Prime subscription for the consumer seems to continue to increase as you add more features in there. Can you just talk about your view around the flexibility of the price of an annual Prime subscription?

Brian T. Olsavsky

Senior VP & CFO

Sure. On the price of Prime, I have nothing to add at this time. We think that the -- we're increasing the value of the Prime program every day. So it becomes more and more valuable and again, as we've said, it's the best deal in retail. On AWS, yes, the -- we are seeing great customer adoption. The -- again, as I've said earlier, the run rate's gone up from \$14 billion to \$16 billion in Q2. And also, we had the largest sequential and year-over-year dollar rise in revenues. Our usage in all of our large services are actually accelerating, so -- and they're growing at a rate higher than our revenue growth. So we're seeing great adoption. We are seeing AWS customers migrate more than 30,000 databases over the last 1.5 years. We've signed some very big customer wins like Ancestry, Hightail, California Polytechnic State University and others that we're very proud to have. So yes, the momentum in the businesses is very strong. We continue to open new regions. We'll be opening 5 regions in the near future in France, China, Sweden, Hong Kong and a second government cloud region in the east. So yes, we like the momentum in that business. Stepping back, I would say that where pricing is important, again, we're generally being selected because of our functionality and pace of innovation. The innovation keeps accelerating. It did in the first half of this year, the pace of new services and features. We also know that customers value our partner and customer ecosystem, and really the experience we've had. We've been at this longer than anybody else.

Operator

Our next question comes from Mark Mahaney with RBC Capital Markets.

Mark Stephen F. Mahaney

RBC Capital Markets, LLC, Research Division

I want to stick with AWS, please. So the AWS revenue growth showed almost no change, but the AWS operating margin was lower, I guess, than we've seen in, I don't know, 6 quarters or something like that. I find that a little surprising, but then I also saw that the tech and content came in materially heavy, I think, versus our and, I assume, other expectations. So could you just talk about that a little bit, the profitability, if there's anything that's changed in the profitability of AWS?

Brian T. Olsavsky

Senior VP & CFO

Sure. Those margins, as we say frequently, are going to fluctuate quarter-to-quarter and always going to be a net of investments, price reductions and cost efficiencies that we drive. So I would say the biggest impact in the margin that you're seeing in Q2 is really around the 71% increase in assets acquired under capital leases. Most of that is for the AWS business. So we've really stepped up the infrastructure to match the large usage growth and also the geographic expansion, and that is showing up in tech and content. On the marketing, if you look under the marketing expenses, they are also up and that is driven by the increases we're seeing in the sales team, both in AWS and advertising. So I would point to those 2 as probably larger-than-normal impacts on Q2 operating margin.

Operator

Our next question comes from Brian Nowak with Morgan Stanley.

Brian Thomas Nowak

Morgan Stanley, Research Division

I have 2. The first one, as you continue to add more Prime Now markets with 1- to 2-hour shipping, can you just talk to some of the logistical challenges you've already encountered and worked through? And talk to kind of -- if you really do see 1- to 2-hour shipping become a larger piece of the business over the next year, what's the biggest challenge to make sure that you manage? And the second one on the subscription revenue. Looks like subscription revenue growth was strong again, over 50%. Can you just talk to what drove that acceleration? Was it Prime, or was there something else in there?

Brian T. Olsavsky

Senior VP & CFO

Sure. Let me start with your second question. On the subscription revenue, grew 53% year-over-year versus 52% in Q1. So yes, we continue to see strong Prime membership growth. That is the main thing. There's also, in that line item, are also other monthly fees associated with some of our other subscription services like audiobooks, eBooks, digital video and digital music. But again, I would say that we're very happy with the Prime membership growth, and it remained pretty consistent both in Q4 and then through Q1 and Q2 of this year. On your second question on Prime Now, so Prime Now is now available in 50 cities across 8 countries. We do learn something new in every city and have different -- slightly different shapes and sizes of those buildings and different density profiles. And so we are learning as we go. We learn as we grow internationally as well. That is a service that customers love. That's not an inexpensive service though, and we also have -- so we're constantly working on our cost of delivery and our route densities. And again, we like what we see, and we'll continue to expand that and we'll be working very hard on making that not only a valuable Prime offering, Prime benefit, but also lower-cost operation as well.

Operator

Our next question comes from the line of Dan Salmon with BMO Capital Markets.

Daniel Salmon

BMO Capital Markets Equity Research

Brian, I think I heard you earlier say that your headcount for advertising salespeople is growing faster than the company as a whole -- or company's headcount growth rate as a whole. I'd just like to use that maybe as a springboard to talk a little bit about what you think the right mix is for how you sell in terms

of the self-service versus salespeople. And then a second one would just be a quick one. I know it's early, but I'd be curious to see what you're seeing with users of the Echo Show with the screen on it and if you're seeing any particularly different type of user behavior there versus the original devices without one.

Brian T. Olsavsky
Senior VP & CFO

Sure. Yes, it's early on the Echo Show. As you know, we just started shipping those in late June, but we're very excited about the potential and the additional -- the addition of the video screen and the messaging capability and video capability. So it's -- I've used mine and it's awesome. It's a big step up, in my mind, but we'll get more customer feedback as we go along. On advertising, technically, what I said is the sales force has grown higher than the rate of growth in the business itself, which was 42% regular headcount, and that sales force is primarily AWS and advertising. So we build self-service tools and obviously that we want to make those as efficient as possible for customers and advertisers, but we realize it will need actual sales contact with accounts as well. So it's a mix. I can't get into the split really, but I would see both growing.

Operator

Our next question comes from the line of Eric Sheridan with UBS.

Eric James Sheridan
UBS Investment Bank, Research Division

Maybe 2. One, with respect to international margins, is there anything there you can give us in terms of rank order or color, whether it'd be geographies or category expansion that we should be thinking about that are driving some of the cost curve in the international side of the business? That would be number one. Number two, stock-based comp stepped up a lot both quarter-over-quarter and year-on-year. Wanted to know if there was anything either organic or inorganic that was driving that step up in stock-based compensation.

Brian T. Olsavsky
Senior VP & CFO

Sure. I'll start with the second one. Yes, as you noted in the press release or the 8-K, we had an absolute step up from Q1 of \$792 million to Q2 of \$1.2 billion. So it increased 51% year-over-year in Q2 versus a headcount increase of 42%. I'll also say that we generally see a step up from Q1 to Q2 because we do our employee RSU grants in Q2 of each year. So that's a normal trend. But the 51% year-over-year is also -- is a combination of the hiring we've done, but also an adjustment we've made to our estimated forfeiture rate. We're seeing less forfeitures, which is a great sign for our employee retention, but you have to make adjustments to your reserves as you see that. So that was another influence in Q2. On operating margins internationally, I'd step back and say, we -- a lot of the investments we're making in North America, we're also making in international: Prime benefits, including Prime Video and remember, we launched global video in Q4 of last year to 200 countries; Prime Now; AmazonFresh; the general rise of FBA and added selection, both retail and FBA, to make Prime more attractive and the fulfillment and logistics costs that go with that, any additional constant effort to reduce prices and accelerate shipping. So that all impacts both North America segment and international. The North America segment is a little further along than the Prime -- or excuse me, yes, the Prime membership growth curve. And so in some respects, we are giving benefits earlier in the life cycle to international Prime customers than we did in North America just because it launched later. And then there's also India. As I mentioned, we continue to invest in India. We're very hopeful with the progress we've made with sellers and customers alike in India, and we see great momentum and success there. So we'll continue to invest, and we have some of our best people in that business.

Operator

Our next question comes from the line of Brian Fitzgerald with Jefferies.

Brian Patrick Fitzgerald

Jefferies LLC, Research Division

You mentioned before as you stand up new fulfillment centers, it takes a bit of time for them to ramp up optimization. How should we think about that path optimization over a year or so as you continue to scale operations and you bring data to bear in robotics, in [keywords] and AI machine learning? Are you finding that kind of new fulfillment center optimization curve is accelerating?

Darin Manney

Finance Director of EU Retail Categories & Expansion

Brian, this is Darin. Yes, we're getting more efficient every time we put new capacity into the network, whether that's through automation or just through the experience that we've gained over the years. We still say it takes up to 3 years or 3 peaks to get to kind of network efficiency for a new particular facility. And that's about staying the same, although the whole network gets efficient over time. So there's a big mix going on, and we like the new innovation that we're bringing to the capabilities, but that ramp stills stays about consistent as it was.

Operator

And our final question comes from the line of Jason Helfstein with Oppenheimer & Co.

Jason Stuart Helfstein

Oppenheimer & Co. Inc., Research Division

Just one. Other slowed from 58% in the first quarter to 53% year-over-year. Anything to call out? And then you made a comment about the physical stores in reaction to one of the other questions that was really about showcasing new devices. Is it fair to say that probably means locations would have small footprints versus the large footprints if you were thinking about that?

Brian T. Olsavsky

Senior VP & CFO

I'm sorry, what was the first part of your question?

Jason Stuart Helfstein

Oppenheimer & Co. Inc., Research Division

Other revenue slowed from 58% in the first quarter to 53%. Is there anything to call out around that?

Brian T. Olsavsky

Senior VP & CFO

No, nothing. In that other line item is advertising and also other things like co-branded credit card agreements. I would say that the main -- excuse me, advertising revenue growth has been strong and fairly consistent over the past 3 quarters. So that number will move around, but there's other things that more the variance in the volatility as in the other line items. Your question on stores. We are -- again, I personally think that new devices -- the ability to see new devices is a great asset, but I don't want to shortchange our -- the rest of the bookstore and the ability to have curated selection and the creativity we've had in taking a new look at the bookstore. So we are experimenting with different formats, and we look at different sizes and we look at revenue and cost per square foot just like any other physical retailer. So we haven't essentially nailed the model yet, and we continue to experiment and see what works and how it differs by city or more suburban locations.

Darin Manney

Finance Director of EU Retail Categories & Expansion

So thank you, Brian, and thank you all for joining us on the call today and for your questions. A replay will be available on our Investor Relations website through at least the end of the quarter. We appreciate your interest in Amazon.com and look forward to talking to you again next quarter.

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